



THIRD QUARTER 2013 FINANCIAL RESULTS

November 5, 2013

zoetis

FORWARD-LOOKING STATEMENTS

This presentation contains forward-looking statements, which reflect Zoetis' current views with respect to business plans or prospects, future operating or financial performance, and other future events. These statements are not guarantees of future performance. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our Annual Report on Form 10-K for the fiscal year ended December 31, 2012, including in the sections thereof captioned "Forward-Looking Information and Factors That May Affect Future Results" and "Item 1A. Risk Factors", in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

NON-GAAP FINANCIAL INFORMATION

We use non-GAAP financial measures, such as adjusted net income and adjusted diluted earnings per share, to assess and analyze our operational results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this news release should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included in the tables accompanying our press release and are posted on our website at www.zoetis.com

JUAN RAMÓN ALAIX
CHIEF EXECUTIVE OFFICER

KEY TAKEAWAYS

DELIVERING ON GROWTH COMMITMENTS

- Continued growth in the quarter and year-to-date
- Grew revenue faster than the market on an aggregate global level in the first half of 2013

RESPONDING TO CUSTOMER AND REGIONAL NEEDS

- Continued to proactively manage the lifecycles of our existing products through innovative R&D programs
- Responding to disease outbreaks with funding into research and collaborations
- Achieved regulatory approvals to add to our diverse portfolio

DRIVING THE BUSINESS FORWARD

- Furthering our work to operate fully independently
- Investing in the infrastructure necessary for our business objectives

RICK PASSOV
CHIEF FINANCIAL OFFICER

INCOME STATEMENT HIGHLIGHTS

	Third Quarter		
	2013*	2012*	Change
Revenue	1,103	1,019	8%
Reported Net Income	131	162	(19)%
Reported Diluted EPS	\$0.26	\$0.32	(19)%
Adjusted Net Income ¹	172	154	12%
Adjusted Diluted EPS ¹	\$0.34	\$0.31	10%

*Millions of dollars, except per share data

¹Non-GAAP adjusted net income and non-GAAP adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

ADJUSTED INCOME STATEMENT HIGHLIGHTS

	Third Quarter				
	2013*	2012*	Change	Foreign Exchange	Operational ²
Revenue	\$1,103	\$1,019	8%	(1)%	9%
Adjusted Cost of Sales ¹	383	352	9%	(1)%	10%
<i>as a percent of revenue</i>	34.7%	34.5%	NA	NA	NA
Adjusted SG&A Expenses ¹	359	330	9%	—	9%
Adjusted R&D Expenses ¹	91	94	(3)%	(2)%	(1)%
Adjusted Interest Expense ¹	29	7	**	—	**
Adjusted Other (Income) / Deductions ¹	(7)	(10)	(30)%	(29)%	(1)%
Adjusted Tax Rate ¹	29.5%	36.8%	NA	NA	NA
Adjusted Net Income ¹	172	154	12%	(4)%	16%

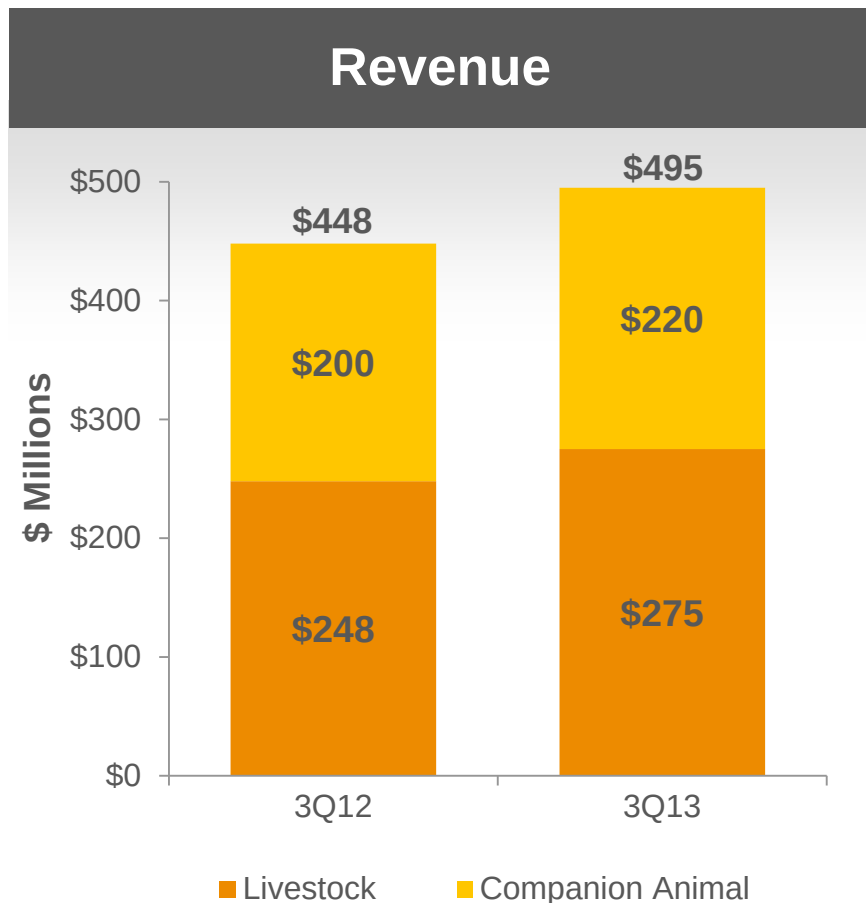
*Millions of dollars; **Calculation not meaningful

NA – Not applicable

¹ Adjusted cost of sales, adjusted selling, general and administrative expenses (SG&A), adjusted research and development expenses(R&D), adjusted interest expense, adjusted other (income) / deductions, adjusted tax rate and adjusted net income (non-GAAP financial measures) are defined as the corresponding reported U.S. generally accepted accounting principles (GAAP) income statement line items, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

² Operational change excludes the impact of foreign exchange.

US SEGMENT PERFORMANCE



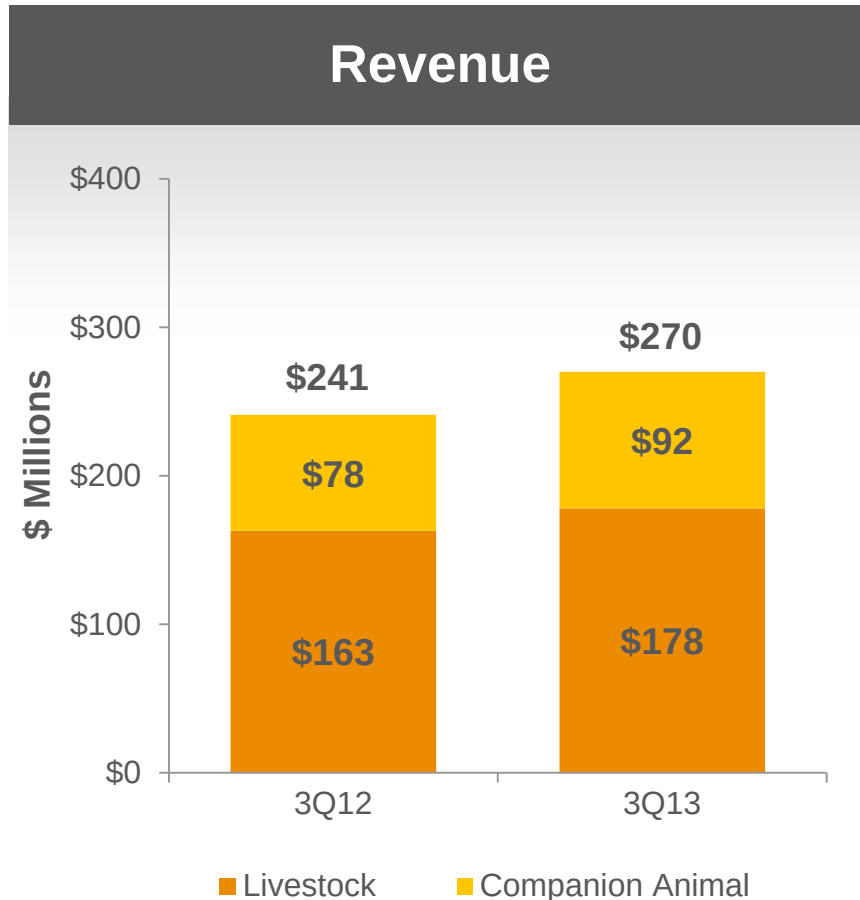
10% Growth



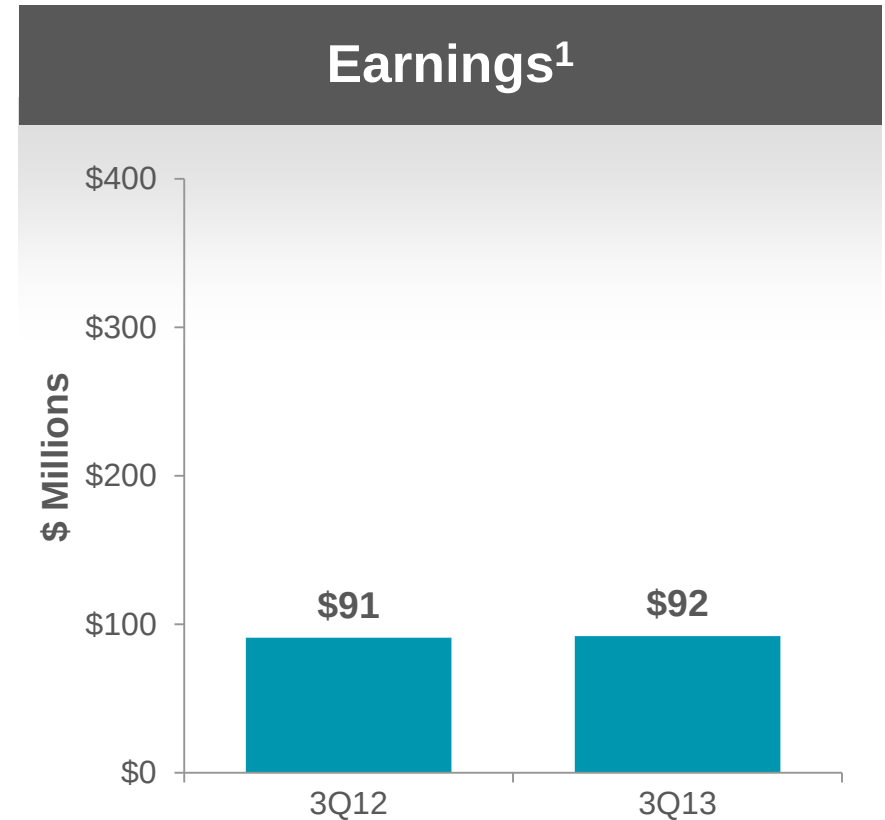
23% Growth

¹Defined as income before provision for taxes on income

EuAfME SEGMENT PERFORMANCE



12% Reported Growth
9% Operational² Growth

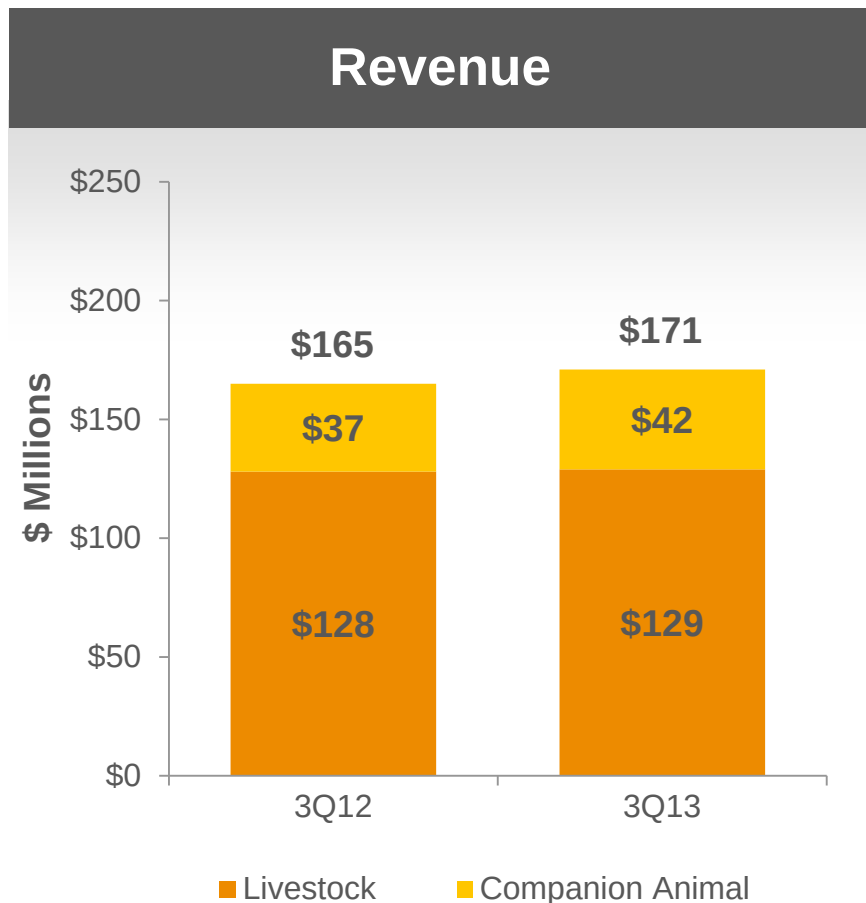


1% Reported Growth
1% Operational² Growth

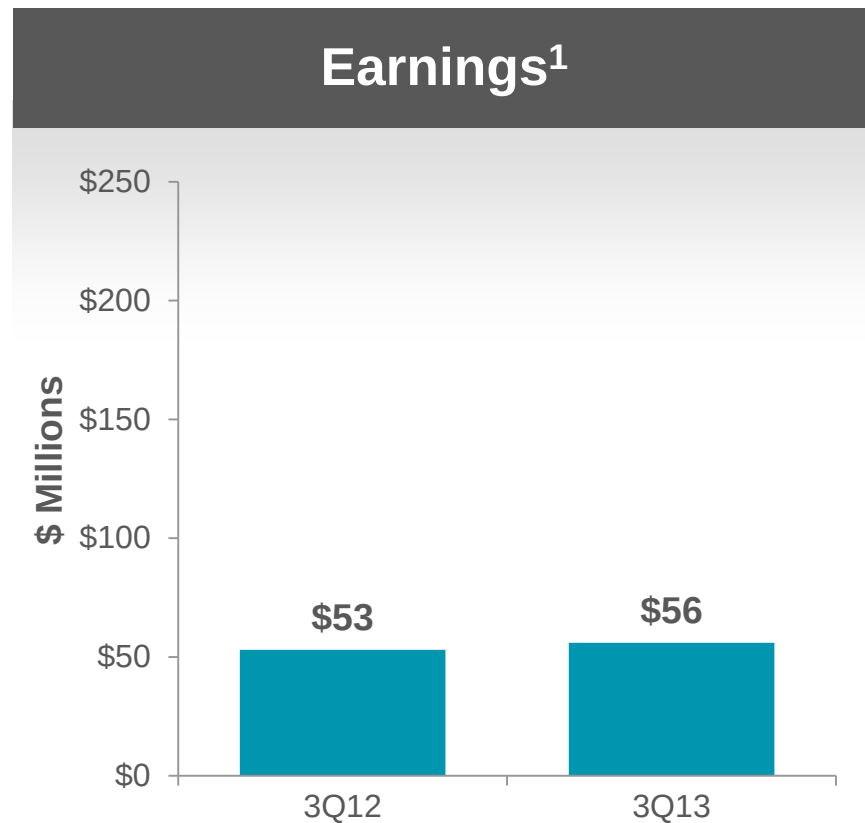
¹Defined as income before provision for taxes on income

²Operational growth is defined as growth excluding the impact of foreign exchange

CLAR SEGMENT PERFORMANCE



4% Reported Growth
9% Operational² Growth

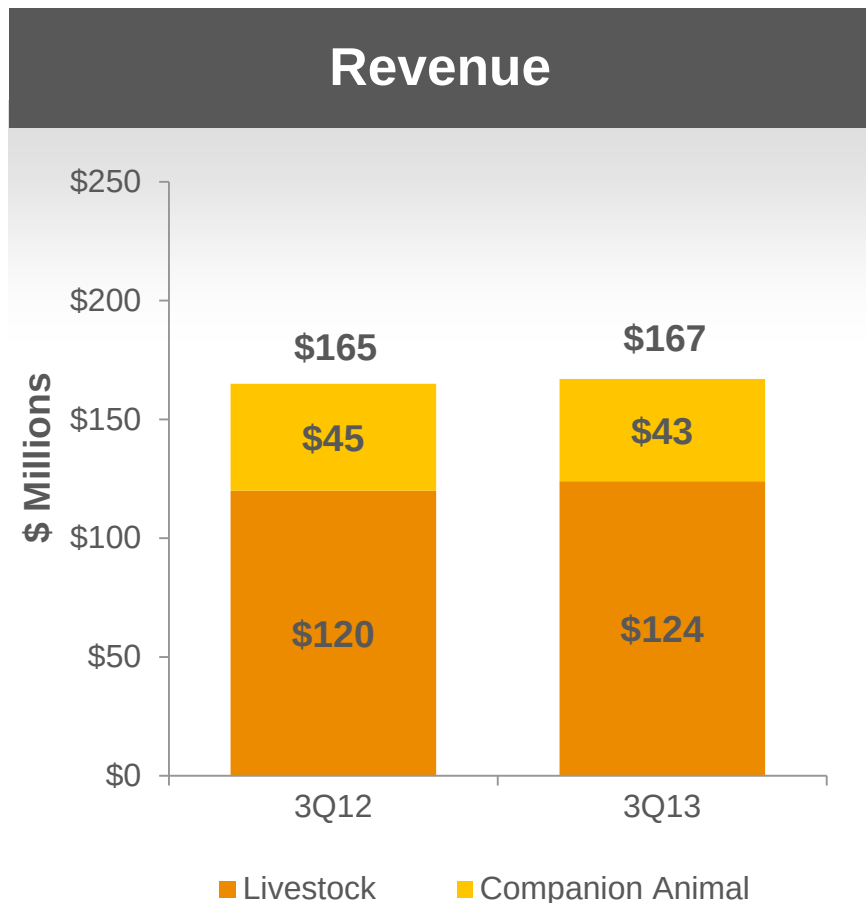


6% Reported Growth
24% Operational² Growth

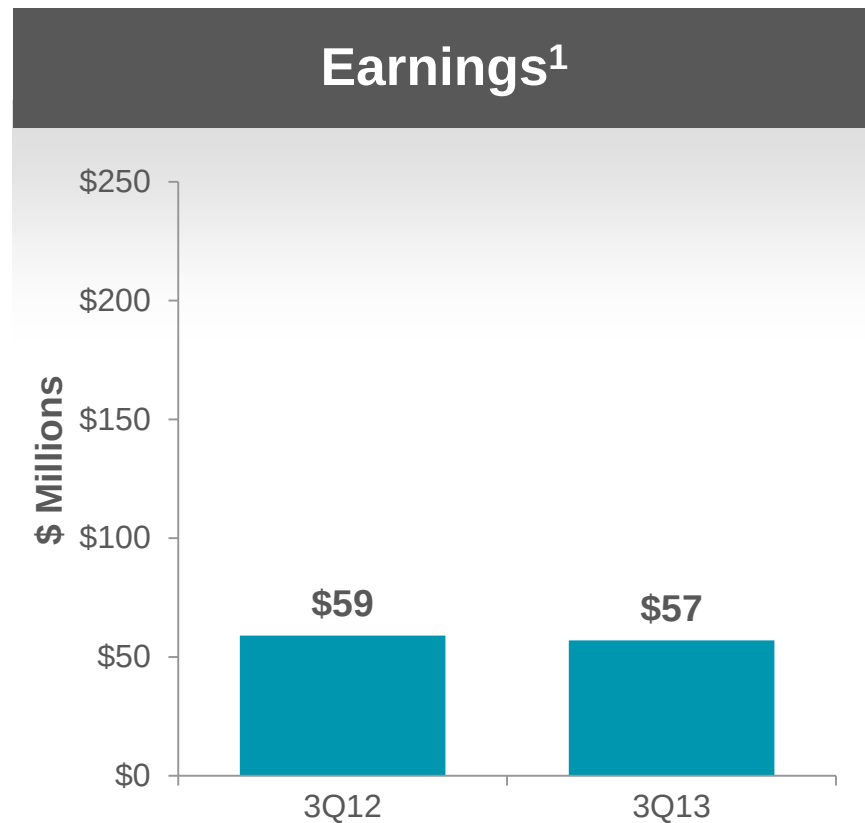
¹Defined as income before provision for taxes on income

²Operational growth is defined as growth excluding the impact of foreign exchange

APAC SEGMENT PERFORMANCE



1% Reported Growth
7% Operational² Growth



3% Reported Decline
3% Operational² Growth

¹Defined as income before provision for taxes on income

²Operational growth is defined as growth excluding the impact of foreign exchange

2013 GUIDANCE

Revenue	\$4.475B to \$4.525B
Adjusted cost of sales as a percentage of revenue ¹	Approximately 35.5%
Adjusted SG&A expense ¹	\$1.405B to \$1.425B
Adjusted R&D expense ¹	\$380M to \$390M
Adjusted interest expense ¹	Approximately \$115M
Adjusted other (income) / deductions ¹	Approximately \$15M income
Effective tax rate on adjusted net income ¹	Approximately 29.5%
Adjusted diluted EPS ¹	\$1.38 to \$1.42
Certain Significant Items ² and Acquisition-Related Costs	\$220M to \$240M
Reported diluted EPS	\$0.98 to \$1.02

¹Non-GAAP adjusted net income and non-GAAP adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

²Primarily includes certain nonrecurring costs related to becoming a standalone public company, such as new branding (including changes to the manufacturing process for required new packaging), the creation of standalone systems and infrastructure, site separation, accelerated vesting and associated cash payment related to certain Pfizer equity awards, certain legal registration and patent assignment costs, and restructuring and other charges.

Q&A

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